After controlling for home prices, rents and vacancies, a neighborhood's Black share does not predict investor lending. In low and moderate income Black neighborhoods, it still does.

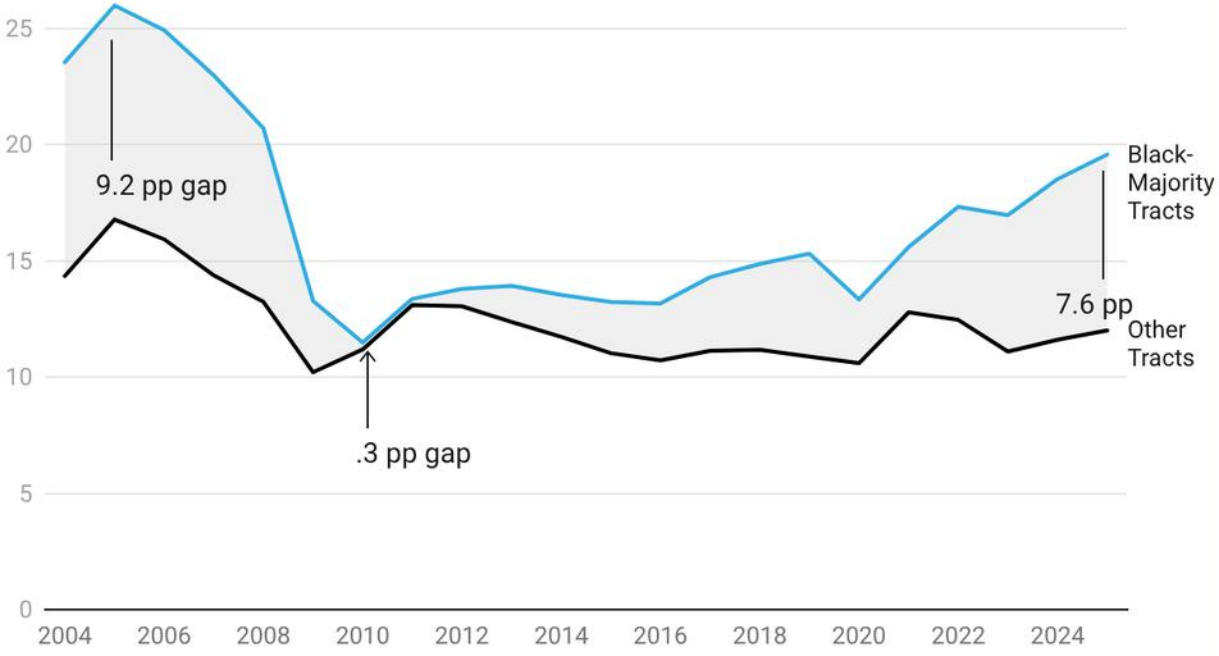
Investor lending and Black neighborhoods across major metros, 2004 to 2025.

By Joseph Dean, NCRC Research. Swipe for the evidence.

The gap closed in the Great Recession and has reopened

Levels of Investor Lending Activity in Black-Majority Neighborhoods

Share of home purchase loans going to non-owner-occupants in Black-majority and other census tracts from 2004 to 2025 in percentages.



Shares are unadjusted and do not control for home price, income, yield or housing stock. See the model charts for estimates with controls.

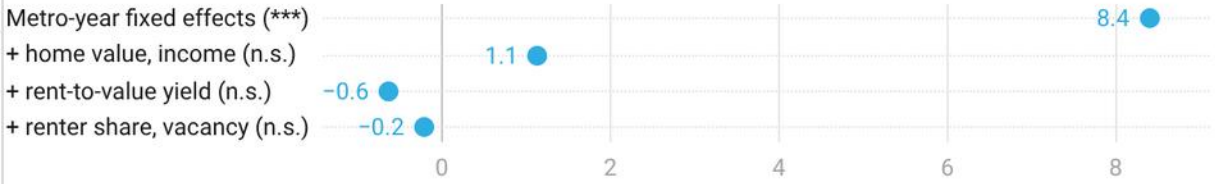
Chart: NCRC • Source: NCRC analysis of HMDA and American Community Survey data • Created with Datawrapper

Investor lending (non-owner-occupied loans) in Black-majority tracts ran 9.2 points above other tracts in 2005, 0.3 points in 2010 and 7.6 points in 2025.

Add neighborhood controls and the gap disappears

Investor Lending and Black Neighborhoods

Estimated difference in the share of home purchase loans going to non-owner-occupants between an all-Black and a no-Black tract by percentage points under increasingly strict models.



Each row adds controls to the model above it.
** p < 0.05; ** p < 0.01; *** p < 0.001; n.s. = not significant.*
Standard errors are clustered by county.

Chart: NCRC • Source: NCRC analysis of HMDA and American Community Survey data • Created with Datawrapper

An all-Black tract starts 8.4 points higher. Controlling for home value and income cuts that to 1.1, then rent-to-value yield to -0.6, then renter share and vacancy to -0.2. The last three estimates are not statistically significant.

Why investors find these neighborhoods attractive

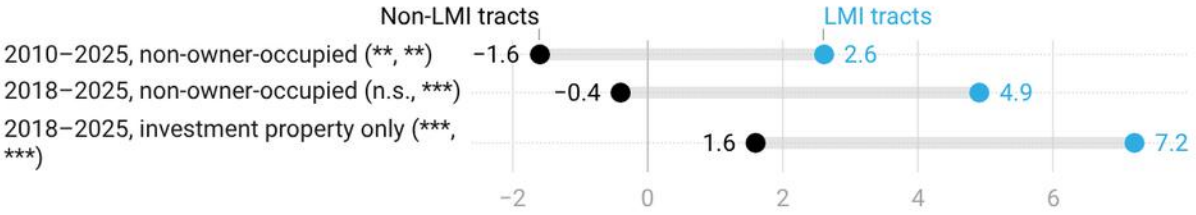
Black-majority tracts have lower home values, higher rent-to-value yields, lower incomes, more renters and more vacant properties.

Those conditions are not a coincidence. They are the result of decades of disinvestment, including redlining, discriminatory banking practices and a substantial racial wealth gap.

The effect is concentrated in low and moderate income tracts

Investor Lending, Black Neighborhoods and Income

Estimated difference in the share of home purchase loans going to non-owner-occupants (or investment property only) between an all-Black and a no-Black tract in low-to-moderate income (LMI) and other tracts in percentage points.



*Significance shown in parentheses (non-LMI, LMI): * p < 0.05; ** p < 0.01; *** p < 0.001; n.s. = not significant. Standard errors are clustered by county.*

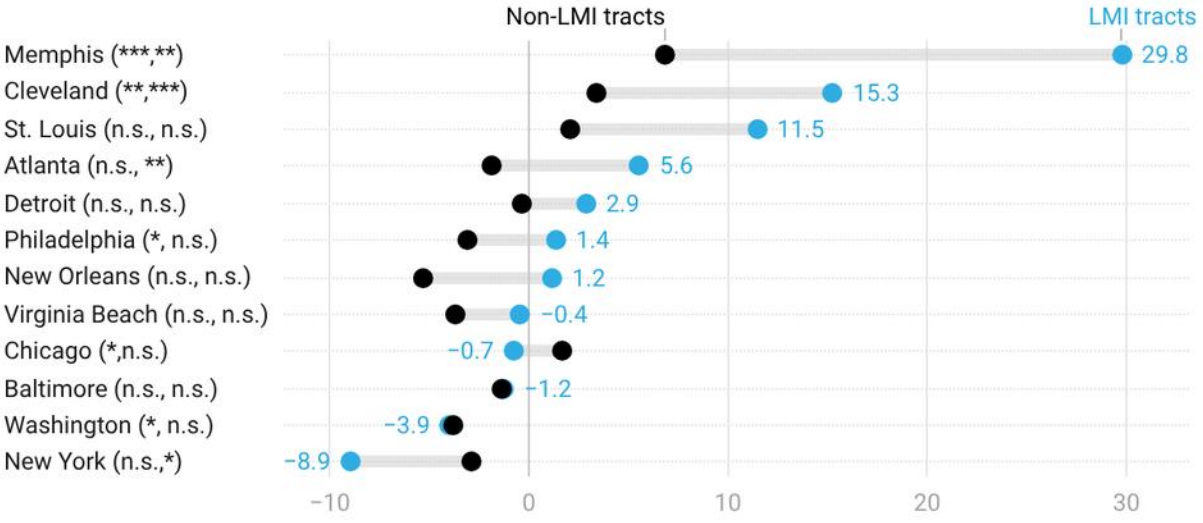
Chart: NCRC • Source: NCRC analysis of HMDA and American Community Survey data • Created with Datawrapper

An all-Black LMI tract has 2.6 points more investor lending than an LMI tract with no Black residents. In non-LMI tracts the difference is -1.6. For investment properties only, 2018 to 2025, it is 7.2 points in LMI tracts and 1.6 in non-LMI tracts.

The pattern depends on the metro

Investor Lending in Black-LMI Neighborhoods

Estimated difference in the share of home purchase loans going to non-owner-occupants by comparing a tract with no Black residents to an all-Black tract in low-to-moderate income (LMI) and non-LMI tracts in percentage points.



*Significance shown in parentheses (non-LMI, LMI): * p < 0.05; ** p < 0.01; *** p < 0.001; n.s. = not significant.*
Standard errors are clustered by county.
Metros shown are the 12 with the most Black-majority census tracts among metros with at least five counties and at least 20 Black-majority tracts.

Chart: NCRC • Source: NCRC analysis of HMDA and American Community Survey data • Created with Datawrapper

In Memphis an all-Black LMI tract has an investor share 29.8 points higher than an LMI tract with no Black residents. In Cleveland it is 15.3. In New York it is -8.9.

What this analysis does not capture

Cash buyers may have made up as much as 39 percent of single family home sales in 2025. They do not appear in HMDA, so this analysis covers financed purchases only.

Local Conditions Matter Most: Black Neighborhoods and Investor Lending Across Major Metropolitans

Read the full analysis at ncrc.org. Published October 15, 2026.